

# Question 1

Correct Mark 6.00 out of 6.00  Flag question

Consider equilibrium in the goods market.

What effect will a change in fiscal policy have on goods market equilibrium in the following situations?

An increase in taxes in response to a fall in consumption will have   on output.

A decrease in government spending in response to an increase in consumption will have   on output.

An increase in government spending in response to a fall in investment will have   on output.

A reduction in taxes in response to an increase in investment will have   on output.

A decrease in government spending will lead to   in aggregate demand (AD).

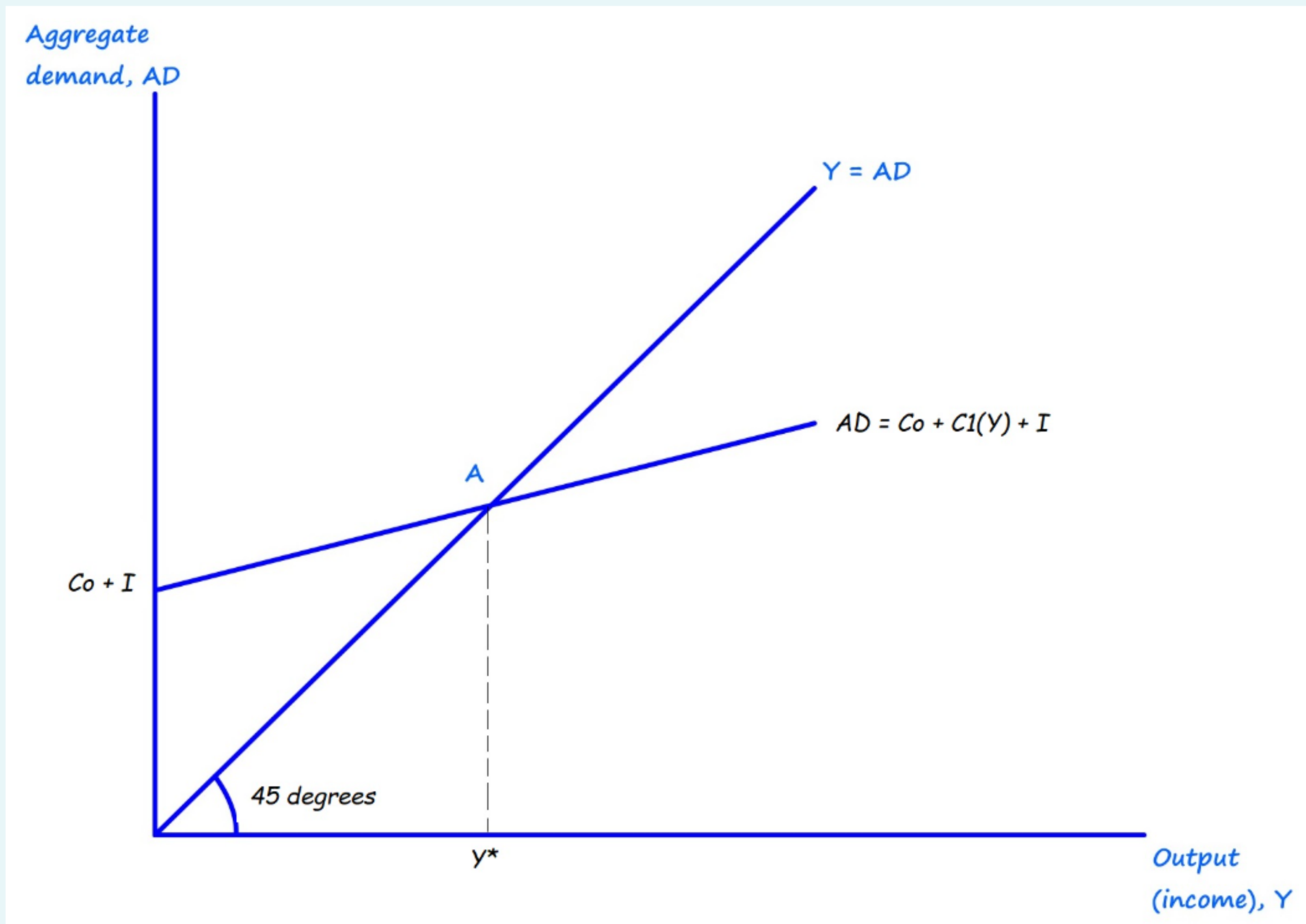
A decrease in taxes will lead to   in aggregate demand (AD).

# Refer to the discussion on fiscal policy in Unit 14 of *The Economy* - specifically section 14.6.

## Question 2

Correct Mark 6.00 out of 6.00  Flag question

The figure below depicts an economy at short-run equilibrium at point A, where the aggregate demand (AD) curve intersects the 45 degree line.



Consider an increase of investment of \$2 billion.

Assume the economy's marginal propensity to consume (MPC) is 0.8.

Based on this information, answer the questions that follow.

The increase in investment will  .

Aggregate demand (AD)   by \$   billion initially.

The multiplier in this economy is  .

The increase in investment leads to   in GDP of \$   billion.

# Question 3

Correct Mark 7.00 out of 7.00  Flag question

Consider the case where the Reserve Bank increases its policy rate. It does this to dampen   
spending. This effect on spending happens because higher interest rates mean  
the cost of borrowing is higher , and therefore  
both consumption and investment fall . As a result, aggregate demand (AD) will  
fall .

Also, a higher interest rate will lead to an appreciation of the New Zealand dollar . This makes  
domestic goods and exports less competitive , which lowers  AD.

# The discussion on monetary policy in Unit 15 of *The Economy* should be helpful here. Take a look at sections 15.8 and 15.9 for more guidance.